

Sociedad Química y Minera de Chile S.A.

Lithium, iodine and specialty plant nutrition from the Atacama Desert

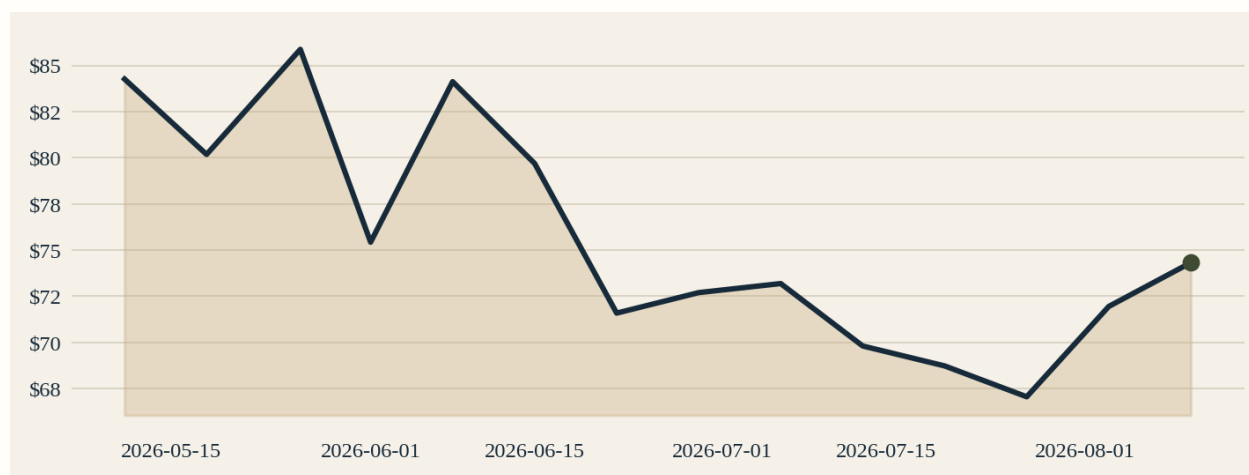
TICKER / EXCHANGE	COUNTRY	SECTOR / SERIES	REPORT DATE	ANALYST
NYSE: SQM · Santiago: SQM-B / SQM-A	Chile	Mining & Material	16 August 2026	Arthur Faugeron

CLOSE, FRIDAY 14 AUGUST 2026 (LAST COMPLETED SESSION)

US\$74.32

▲ +US\$2.16 (+2.99%)

Volume 680,781 shares · Market cap ≈ US\$21.2bn



SQM (NYSE: SQM), weekly closing price, approx. last thirteen weeks to Friday 14 August 2026 — the most recent completed trading session as of the report date.

Source: StockAnalysis.com, price data supplied by S&P Global Market Intelligence. Chart constructed by the analyst from sourced closing-price data; not a vendor screenshot.

EXECUTIVE SUMMARY

Executive Summary

Methodological note on this cover page: this report's automated production environment could not retrieve a binary image file (the SQM corporate logo, nor a literal browser screenshot of a live price chart) due to sandboxed network restrictions. In place of a logo, the cover uses the company's name set in the OCAD house typography. In place of a screenshot, the price panel above is a chart the analyst built directly from sourced, verifiable closing-price data (StockAnalysis.com / S&P Global Market Intelligence) for the most recent completed session, 14 August 2026, and the trailing thirteen weeks. No figures on this cover are estimated or invented; both the omission of the logo and the chart's constructed (rather than captured) nature are disclosed here in the interest of the "sources must be verifiable" standard applied throughout this report. The official logo can be viewed at sqm.com.

Business

SQM is a Chilean producer of lithium and its derivatives, iodine and its derivatives, specialty plant nutrition (potassium nitrate and blended fertilizers), potassium chloride/sulfate and industrial chemicals, headquartered in Santiago and listed on the NYSE (ADR) and the Santiago Stock Exchange. Its two flagship resources — brine from the Salar de Atacama and caliche ore from Chile's northern desert — give it what is generally regarded as the lowest-cost lithium-carbonate position among major producers and roughly a fifth of world iodine supply. In 2025 the company brought a second lithium growth engine on stream in Western Australia (the Mt Holland mine/concentrator and the Kwinana lithium-hydroxide refinery, which shipped its first product in January 2026), and from 2025 it began operating the Salar de Atacama lithium business through Nova Andino Litio, a vehicle in which Chile's state copper company Codelco holds an economic interest alongside SQM under a partnership approved by regulators in 2025. Revenue is earned from a small number of global customers in batteries/EVs, medical imaging and specialty agriculture, sold under long-term contracts and spot-referenced pricing that leaves SQM's earnings highly sensitive to swings in lithium and iodine prices.

Financial condition

Revenue was US\$4,576.2 million in fiscal 2025, roughly flat year-on-year (+1.0%) after collapsing from a 2022 peak of approximately US\$10.7 billion as lithium prices normalized. Reported net income attributable to shareholders was US\$588.1 million in 2025, a recovery from a US\$404.4 million loss in 2024 that was driven primarily by a one-off Chilean tax charge rather than a decline in operating performance. Adjusted EBITDA was US\$1,579.6 million in 2025 (34.5% margin), and operating cash flow of US\$1,314.4 million comfortably covered capital expenditure of US\$876.7 million, producing free cash flow of US\$437.7 million — a reversal from negative operating cash flow in 2023, when a sharp lithium-price correction combined with a working-capital build to push cash generation deeply negative even as reported net income that year exceeded US\$2.0 billion. At 31 December 2025, SQM carried net debt of approximately US\$2.0 billion against Adjusted EBITDA of US\$1.58 billion (net debt/EBITDA of roughly 1.3x), a materially more levered balance sheet than its 2022 net-cash position, reflecting the capital intensity of the Australian expansion and the Nova Andino Litio transition payments.

Market position

SQM's most direct global competitors in lithium are Albemarle (the only other truly global, brine-and-hard-rock lithium major) and Rio Tinto, which became a top-tier lithium producer after acquiring Arcadium Lithium in 2025; Chinese converters Ganfeng Lithium and Tianqi Lithium compete heavily on cost and processing capacity but with less Western market access. SQM's principal competitive advantage is resource quality: the Salar de Atacama is widely considered

the highest-concentration, lowest-evaporation-cost lithium brine in the world, giving SQM among the lowest all-in production costs of any major lithium producer. Its principal competitive weakness is political and contractual: SQM's Atacama lease and pricing framework are the product of negotiation with the Chilean state, culminating in the 2025 Codelco partnership, which caps SQM's economic share of Atacama lithium profits after 2030 and hands Codelco operational control from 2031 — a structural ceiling on the asset's economics that peers with fee-simple or long-dated concession assets do not face to the same degree.

Valuation

At the 14 August 2026 close of US\$74.32, SQM's market capitalization is approximately US\$21.2 billion on 285.6 million shares. On trailing-twelve-month figures through the first quarter of 2026, SQM trades at roughly 25.3x trailing earnings and 10.7x forward consensus earnings, 4.0x trailing sales, and 3.6x book value (source: Alpha Vantage aggregation of company filings and consensus estimates). On an analyst-calculated, fiscal-year-2025 basis, enterprise value of approximately US\$25.6 billion (market capitalization plus total debt and consolidated minority interest, less cash and short-term investments) implies EV/Revenue of 5.6x and EV/Adjusted EBITDA of 16.2x. Both sets of multiples sit well above SQM's own 2023-2024 trough multiples and reflect a market that is pricing in a continued recovery in lithium prices through 2026 rather than the trough conditions of the prior two years.

Investment framework

What is attractive: a structurally low-cost, long-life resource base; a second, largely capex-complete growth vector in Australia; a business (iodine) that is not correlated with lithium and is currently enjoying record pricing; and a 2025-2026 lithium price recovery (SQM's own realized lithium price at Nova Andino Litio rose from roughly US\$10/kg in the fourth quarter of 2025 to approximately US\$17.8/kg in the first quarter of 2026, up 95% year-on-year, with management indicating a further sequential increase in the second quarter) that is flowing straight through to cash generation.

What is concerning: extreme historical earnings and cash-flow volatility tied to a single commodity price the company does not control; a 2023 episode in which operating cash flow went negative despite a large reported profit, evidencing weak earnings quality in down-cycles; a balance sheet that swung from net cash to roughly 1.3x levered EBITDA in three years; and a post-2030 change in the economics and control of SQM's core Atacama asset under the Codelco partnership.

What must go right: the lithium price recovery evident in early 2026 needs to prove durable rather than a restocking-driven spike; the Australian hydroxide ramp-up at Kwinana needs to reach reliable, on-specification production; and SQM needs to convert its now-larger capital base (total assets roughly US\$14.5 billion at year-end 2025, up from US\$11.5 billion a year earlier) into cash returns rather than a permanently heavier capital-intensity profile.

What could break the thesis: a renewed lithium supply glut (from Chinese lepidolite/African hard-rock capacity or a slower-than-expected EV demand curve) that pushes prices back toward the 2024 trough; delays or cost overruns at Kwinana; or a deterioration in the terms or execution of the Codelco partnership that further compresses SQM's post-2030 economics.

What appears to be priced in: current multiples appear to assume that the 2025-2026 price recovery persists into 2027 and that Adjusted EBITDA margins hold near the mid-30% area reached in the fourth quarter of 2025, rather than reverting toward the high-20s to 30% range that prevailed for most of 2019-2021 and 2024.

Investment Profile

<i>Business quality</i>	Above-average — a scarce, low-cost natural-resource position in two structurally advantaged commodities (lithium brine, iodine), partly offset by product concentration and price-taker dynamics.
<i>Financial quality</i>	Mixed — investment-grade-style balance sheet metrics but with a demonstrated capacity for operating cash flow to turn negative in a down-cycle even when accounting profit is positive.
<i>Competitive position</i>	Strong in cost curve position; weakening in asset control given the post-2030 Codelco governance shift at the Salar de Atacama.
<i>Growth profile</i>	Volume growth is genuine and largely funded (Australia, Atacama expansion); revenue growth remains price-driven and highly cyclical.
<i>Balance-sheet risk</i>	Moderate — net debt/Adjusted EBITDA of roughly 1.3x is manageable, but leverage would rise quickly in a renewed price downturn given the operating leverage evident in 2023-2024.
<i>Valuation</i>	Full relative to SQM's own trough multiples; not obviously stretched relative to peers, but dependent on the 2026 lithium price recovery proving durable.
<i>Market / technical profile</i>	High realized volatility (weekly-return-annualized volatility of approximately 51% over the trailing five years) and a maximum peak-to-trough drawdown of roughly 73% since 2022; the stock is currently in an uptrend from its mid-2025 trough but well below its 2022 and 2026 highs.

SECTION A

About the Business

A1. Business Environment

SQM sits at the intersection of two very different industries. The first is battery-materials mining: the extraction and refining of lithium into carbonate and hydroxide for lithium-ion battery cathodes, an industry whose demand is overwhelmingly driven by electric-vehicle adoption and, increasingly, grid-scale battery energy-storage systems (ESS). Global lithium demand is estimated by industry participants to grow on the order of 25-30% in 2026 (SQM management's own estimate, 4Q2025 earnings release; Ganfeng Lithium has separately guided to 30-40% demand growth), a rate of growth few other mined commodities can match, but one that has historically proven prone to overshoot: lithium carbonate prices fell from all-time highs in late 2022 to multi-year lows in 2024 as Chinese converter capacity and new hard-rock supply outran demand, then rebounded sharply through 2025-2026 as that supply was rationalized and ESS demand accelerated. The industry is capital-intensive on the supply side (multi-year lead times for brine evaporation ponds or hard-rock concentrators and refineries) but requires comparatively little downstream capital, which is why price swings translate so directly into producer margins.

The second industry is specialty minerals: iodine, used mainly in X-ray contrast media, pharmaceuticals, LCD screens and various industrial applications, and potassium-based specialty plant nutrition, sold mostly to high-value fruit, vegetable and row-crop growers rather than into bulk commodity fertilizer markets. Both are far more concentrated and structurally stable than lithium: iodine production is dominated by a small number of Chilean caliche-ore producers (principally SQM and Cosayach/ATA in Chile) alongside Japanese brine-gas producers, and SQM's own disclosure that the business contributed 42% of consolidated gross profit in 2025 on only 23% of revenue is itself evidence of a structurally advantaged, less commoditized market. Specialty plant nutrition competes against bulk fertilizer substitutes but commands premium pricing for water-soluble, blended and micronutrient-enhanced products sold directly to sophisticated growers.

Chile's Atacama Desert is unusual in hosting world-class deposits of both input chains within the same company's operating footprint, so SQM's "industry" is in practice a portfolio of two: a high-growth, high-volatility, capital-intensive commodity (lithium) bolted onto a slower-growing, higher-margin, more defensible specialty-minerals franchise (iodine and SPN). Classification: lithium is best described as an emerging-to-growing industry that is currently mid-cycle recovery after a severe correction; iodine and SPN are mature, moderately concentrated, low-volatility specialty-materials markets.

A2. What Does the Company Do?

SQM operates five reported business lines. Lithium and Derivatives (50.0% of FY2025 revenue, 45% of gross profit) produces lithium carbonate and lithium hydroxide, sold under multi-year offtake-style agreements with battery and cathode manufacturers at prices that reference — but lag and smooth — the spot lithium market; volumes come from two engines: Nova Andino Litio, the Salar de Atacama brine operation in Chile (233.1 thousand tonnes LCE sold in 2025, +14% year-on-year), and the International Lithium Division in Western Australia, comprising the Mt Holland spodumene mine/concentrator and the Kwinana lithium-hydroxide refinery, which shipped its first Australian-refined lithium hydroxide in January 2026. Iodine and Derivatives (22.8% of revenue, 42% of gross profit) extracts iodine as a co-product of caliche-ore nitrate mining and sells it mainly into X-ray contrast-media and pharmaceutical end markets, where 2025 closed with iodine prices exceeding US\$73.5 per kilogram amid tight global supply. Specialty Plant Nutrition

(21.5% of revenue, 11% of gross profit) sells potassium nitrate, sodium potassium nitrate and specialty blends to premium fruit, vegetable and row-crop growers worldwide. Potassium (3.4% of revenue) sells commodity potassium chloride and sulfate, a business SQM has been deliberately shrinking — 2025 volumes fell 53% year-on-year as management redirected potassium-bearing brine toward higher-value lithium and SPN production. Industrial Chemicals (1.6% of revenue) sells industrial nitrates for solar thermal energy storage and other industrial uses.

The operating model is best summarized as: brine and caliche ore extracted in the Atacama Desert (plus, since 2025, hard-rock ore mined and concentrated in Western Australia) → processed into lithium carbonate/hydroxide, iodine, potassium nitrate and industrial nitrates at Chilean plants (and, for lithium hydroxide, the Kwinana refinery) → sold globally under a mix of multi-year contracts (lithium, SPN) and shorter-cycle sales (iodine, potassium) → converted into operating cash flow that funds a still-large capital program (US\$876.7 million of capex in 2025) for further Atacama and Australian capacity expansion, debt service, and a dividend policy that in recent lean years has been minimal (a token US\$4.3 million total common dividend paid in 2025) but was very large in the 2022 windfall year (over US\$2.2 billion). The single most economically important swing factor in the entire model is the realized lithium price: a move from roughly US\$10/kg in the fourth quarter of 2025 to approximately US\$17.8/kg in the first quarter of 2026 alone accounts for the great majority of the 165% year-on-year increase in first-quarter 2026 net income reported by the company, which pushed first-quarter Adjusted EBITDA margin to 47.6% — well above the 34.5% achieved for full-year 2025. Nova Andino Litio alone contributed more than US\$530 million to the Chilean state (through Corfo payments, local-government payments and taxes) in the first quarter of 2026, a concrete illustration of the roughly 70% operating-margin share described in Section A3.

A3. Business / Relationship Network

SQM

→ Nova Andino Litio (Salar de Atacama lithium brine, Chile) — partnership with Codelco (via its subsidiary Minera Tarar), in which Codelco holds 50% of shares plus one; SQM (through SQM Salar) manages the business and holds voting control through 2030, Codelco assumes board and voting control from 2031; under the agreement's terms the Chilean state (via Codelco, state development agency Corfo, and taxation) receives approximately 70% of the operating margin on new production between 2025 and 2030, rising to approximately 85% from 2031; Codelco is separately entitled to 33,500 tonnes LCE per year of supply through 2030.

→ International Lithium Division (Mt Holland mine/concentrator and Kwinana refinery, Western Australia) — hard-rock spodumene and lithium-hydroxide production, first Kwinana shipment January 2026.

→ Iodine & Plant Nutrition Division — caliche-ore mining and processing in northern Chile.

→ Customers — global battery/cathode manufacturers and EV/ESS supply chains (lithium); X-ray contrast-media and pharmaceutical manufacturers (iodine); premium fruit, vegetable and row-crop growers worldwide (specialty plant nutrition).

→ Regulators/partners — Chile's Comisión Chilena del Cobre and CORFO (Salar de Atacama lease framework); Codelco (Nova Andino Litio partner); Chilean and Australian environmental and indigenous-consultation authorities.

→ Capital markets — NYSE (ADR, Series B) and Bolsa de Santiago (Series A and B); U.S. SEC (Form 20-F annual filer; Form 6-K interim filer).

→ Competitors — Albemarle, Rio Tinto (via its 2025 Arcadium Lithium acquisition), Ganfeng Lithium, Tianqi Lithium (lithium); Cosayach/ATA and Japanese brine-gas producers (iodine); Yara, Haifa, ICL and Nutrien specialty lines (plant nutrition).

The Codelco relationship is the single most consequential entry on this map: it converts SQM's Atacama lithium business from a wholly owned, fee-based concession into a partnership in which a significant share of long-run economics and, from 2031, operating control pass to the Chilean state's mining company. The Australian relationships (Mt Holland/Kwinana) matter because they are SQM's main lever for growing lithium output outside the Codelco framework and outside Chile's political perimeter altogether, giving the company a geographically diversified second lithium base for the first time in its history.

A4. Competition

SQM's relevant competitive set differs materially by business line. In lithium, the three producers most frequently described in the sell-side and trade press as the global "Big Three" are Albemarle, SQM and Rio Tinto (following its 2025 acquisition of Arcadium Lithium); Ganfeng Lithium and Tianqi Lithium lead in Chinese conversion capacity and compete aggressively on cost but have historically had less direct exposure to Western battery supply chains. In iodine, SQM's main direct competitor is Chile's Cosayach/ATA, with Japanese natural-gas-brine iodine producers (principally in the Chiba region) forming a smaller, higher-cost secondary supply base. In specialty plant nutrition, SQM competes with diversified fertilizer majors such as Yara International, Haifa Group, ICL and Nutrien in the premium water-soluble and blended-fertilizer niche, though none of these competitors sources potassium nitrate from Chilean caliche/brine the way SQM does.

Table A4-1 — Selected lithium-sector competitors: positioning summary

Company	What they sell	Scale (TTM revenue)	Major advantage	Major disadvantage
SQM (NYSE: SQM)	Lithium, iodine, SPN, potassium, industrial chemicals	≈US\$5.3bn	Lowest-cost Atacama brine resource; iodine co-product diversification	Single-country resource concentration; post-2030 Codelco governance shift
Albemarle (NYSE: ALB)	Lithium (Energy Storage), bromine and catalysts (Specialties, Ketjen)	≈US\$5.9bn	Global brine (Chile, US) plus hard-rock (Australia) diversification; large bromine/specialties cash-flow cushion	Near break-even TTM profitability; heavier net debt load after 2022-2023 capex cycle
Rio Tinto (NYSE: RIO)	Iron ore, aluminium, copper, and (since the 2025 Arcadium acquisition) lithium	≈US\$61.8bn	Vastly larger balance sheet and diversified cash flow; targeting 200,000+ tonnes LCE capacity by 2028	Lithium is a small, still-integrating part of a diversified miner — less pure-play leverage to a lithium recovery
Ganfeng Lithium / Tianqi Lithium	Lithium chemicals, conversion, some upstream resources	Not directly comparable (separately listed in China/Hong Kong)	Leading Chinese conversion capacity and cost position on processing	Less direct access to Western OEM supply chains; exposed to Chinese "anti-involution" policy shifts

Revenue figures are trailing-twelve-month, US dollars, as reported by Alpha Vantage (SQM) and StockAnalysis.com/S&P Global Market Intelligence (ALB, RIO) as of 14 August 2026; Ganfeng and Tianqi are not covered by these data sources in this report and are described qualitatively only, based on trade-press reporting (see Section G).

A5. Competitive Differences

Advantages. SQM's central advantage is resource quality: the Salar de Atacama's brine has an unusually high lithium concentration and low magnesium-to-lithium ratio combined with Chile's high solar-evaporation rates, which together are generally cited as producing among the lowest all-in lithium production costs of any major global source — a genuine, structural cost advantage rather than a temporary one. A second, less-discussed advantage is product diversification away from lithium: the iodine franchise is a genuine oligopoly position (a handful of global producers) that delivered a 42% gross-profit contribution in 2025 despite lithium's much larger revenue share, cushioning earnings through the lithium down-cycle. A third advantage is the emerging geographic diversification into Western Australia, which reduces single-jurisdiction concentration risk for the first time in the company's history.

Disadvantages. SQM's central disadvantage is that it is a price-taker in its largest business: lithium and iodine prices are set in global markets SQM cannot influence, and the 2022-2024 swing from record profit to a net loss illustrates how directly that flows through to the bottom line. A second disadvantage is single-country concentration of its flagship asset — essentially all of Nova Andino Lito's brine production originates from one salar in one country, exposed to Chilean fiscal, environmental and indigenous-consultation policy. A third, newer disadvantage is the Codelco partnership itself: while it resolved years of regulatory uncertainty over SQM's post-2030 Atacama rights, it did so by capping SQM's long-run economic interest and ceding operating control to Codelco from 2031, a real and quantifiable erosion of the value of SQM's best asset relative to a scenario of continued full ownership.

On balance, SQM's moat is assessed as **moderate**: the underlying resource economics are genuinely advantaged and durable, but the commercial structure through which SQM captures that advantage (a state-negotiated, time-limited partnership) is weaker and more exposed to political renegotiation than the moats of resource companies operating under conventional freehold or long-dated concession title.

A6. Industry Trend

Lithium demand growth has been genuinely secular (EV penetration, and increasingly grid-scale energy storage), but supply has repeatedly overshot demand on a multi-year lag, producing a boom-bust pricing pattern rather than a smooth growth trend: battery-grade lithium carbonate prices rose from roughly US\$8 per kilogram in May 2025 to more than US\$25 per kilogram by May 2026, a move management and independent trade press both attribute to a combination of stronger-than-expected ESS demand, supply-side discipline (including Chinese "anti-involution" policies restraining domestic output) and specific supply disruptions. Chinese domestic lithium carbonate spot prices stood at roughly 151,500 CNY per tonne on 14 August 2026, up 84.8% year-on-year, though down slightly (-1.6%) over the trailing month, consistent with a market that has moved from oversupply toward tightness but has not yet proven it can hold near these levels through a full cycle. Iodine is a steadier structural growth story tied to global medical-imaging volumes, with SQM management guiding to roughly 3% market growth in 2026 to approximately 40,000 tonnes. Specialty plant nutrition tracks global high-value agriculture capital spending and is growing at a low-to-mid single-digit rate.

What could reverse the current lithium up-cycle: a reacceleration of Chinese lepidolite or African hard-rock supply once prices justify restarting idled capacity (much of the 2023-2024 collapse was itself caused by exactly this dynamic reversing in the opposite direction); a slowdown in EV sales growth in China or Europe; or faster-than-expected battery chemistry substitution (for example, continued gains for lithium-iron-phosphate cell designs that use less lithium per kilowatt-hour, or longer-term sodium-ion competition) that structurally lowers lithium intensity per vehicle.

A7. Management

Table A7-1 — Key executives

Name	Position	Background
Ricardo Ramos	Chief Executive Officer (since January 2019)	Industrial engineer, Pontificia Universidad Católica de Chile. Joined SQM in 1989 as Finance Advisor; served as CFO and Vice-President of Corporate Services from 1994 to 2018 before becoming CEO.
Gerardo Illanes	Chief Financial Officer	Civil industrial engineer, Pontificia Universidad Católica de Chile; MBA, Goizueta Business School, Emory University. Joined SQM in 2006, held various Chile and international finance roles before becoming CFO in 2018.
Carlos Díaz Ortiz	CEO, Nova Andino Litio	Industrial engineer and MBA, Pontificia Universidad Católica de Chile. Joined SQM in 1996 as a planning engineer; became Executive Vice-President of Lithium in December 2021.
Mark Fones	CEO, International Lithium Division	Leads the Mt Holland/Kwinana Australian lithium business (biographical detail not further disclosed in sources reviewed).
Pablo Altimiras	Executive Vice-President, Iodine and Plant Nutrition Division	Industrial engineer and MBA, Pontificia Universidad Católica de Chile. Joined SQM in 2007; became Executive Vice-President of Iodine and Nitrates in December 2021.

Ramos's tenure (CEO since 2019, at the company since 1989, including nearly a quarter-century as CFO) provides continuity through both the 2022 windfall and the 2023-2024 correction; his public commentary in the 4Q2025 release attributes 2025-2026 results candidly to price cycles and volume execution rather than promotional language, consistent with the disclosure style expected of an SEC 20-F filer. On capital allocation, the record of the past three years is one of capital discipline forced by circumstance rather than choice: dividends were cut from over US\$2.2 billion in 2022 to a token US\$4.3 million in 2025 as free cash flow compressed and then turned negative in 2023, while capital expenditure was maintained in the US\$0.9-1.1 billion per year range throughout the downturn to complete the Australian expansion — a decision that preserved the growth pipeline at the cost of shareholder distributions, and one that has since been vindicated by the 2025-2026 volume ramp, though it also meant SQM entered the downturn without a repurchase or dividend buffer. The single largest capital-allocation decision of the period — accepting the Codelco partnership rather than litigating or renegotiating unilaterally for continued full Atacama ownership beyond 2030 — was a negotiated compromise with the company's largest counterparty risk (the Chilean state) rather than a discretionary choice, and is assessed in Section A5 above.

SECTION B

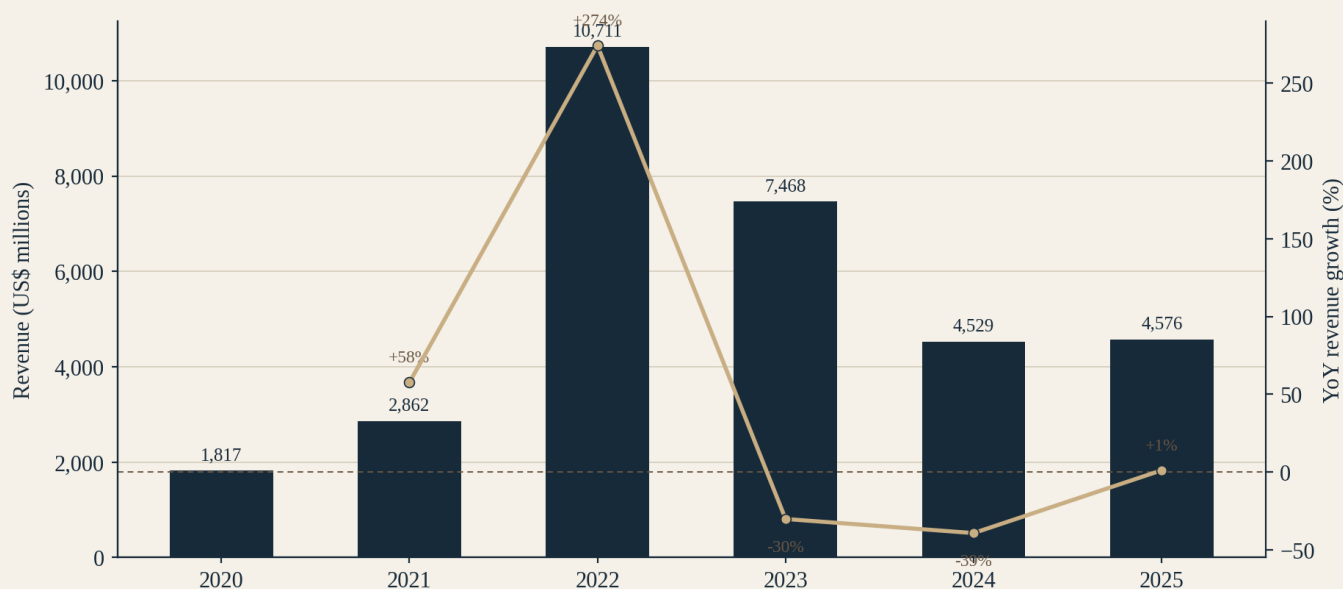
Financial Statements

SQM reports consolidated results under IFRS, in U.S. dollars, as an SEC foreign private issuer (Form 20-F annual filer; Form 6-K interim/earnings filer). Figures for fiscal years 2024 and 2025 below are as reported in SQM's 4Q2025 earnings release (Form 6-K, filed 27 February 2026, SEC EDGAR). Figures for fiscal years 2020-2023 are Alpha Vantage's standardized aggregation of SQM's SEC filings and may reflect subsequent restatements (SQM discloses that its FY2024 20-F included an accounting reconciliation related to a review of tax claims with the Chilean Internal Revenue Service on lithium-mining activities); where the two sources diverge by more than rounding, the divergence is noted. Adjusted EBITDA for 2024-2025 is the company's own non-GAAP measure, reconciled to reported net income in the source filing; EBITDA for 2020-2023 is an Alpha Vantage calculated figure (operating income plus depreciation and amortization) and is not necessarily calculated on an identical basis to SQM's own Adjusted EBITDA — both are disclosed as such throughout.

B1. Income Statement

Revenue swung from US\$1.82 billion in 2020 to a peak of US\$10.71 billion in 2022 as lithium prices spiked to record levels, then fell by 30% in 2023 and a further 39% in 2024 as prices normalized, before stabilizing at US\$4.58 billion in 2025 (+1.0% year-on-year) — essentially flat, but on materially different mix than 2024, with lithium and iodine both growing while potassium was deliberately run down. Reported net income attributable to shareholders followed an even more extreme path: from US\$164.5 million (2020) to US\$3.91 billion (2022) to a net loss of US\$404.4 million (2024) and back to US\$588.1 million (2025). The 2024 loss is attributable primarily to a one-off, largely non-cash Chilean income-tax charge rather than to weaker underlying operations — reported income before taxes was actually higher in 2024 (US\$974.4 million) than in 2025 (US\$960.7 million), but the 2024 income-tax expense of US\$1,372.0 million (a rate far in excess of 100% of pre-tax income) overwhelmed it, versus a more normal US\$320.1 million tax charge in 2025. Readers comparing 2024 and 2025 profitability should therefore look through the net-income line to gross profit and Adjusted EBITDA, both of which were broadly stable to modestly higher in 2025.

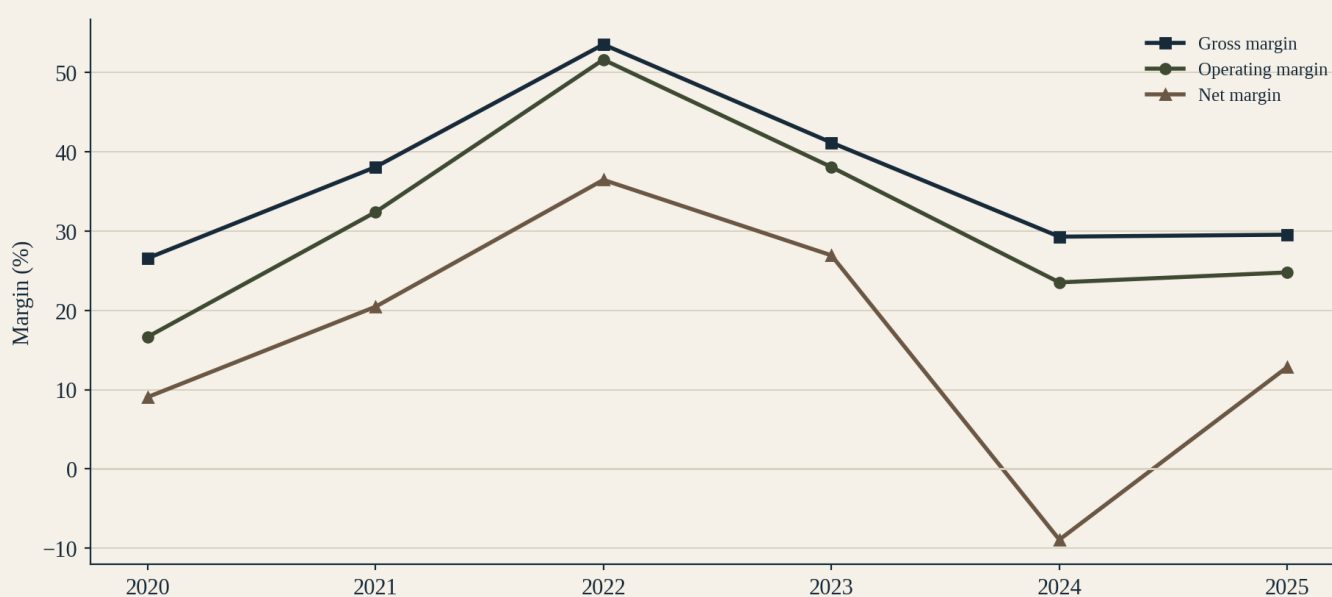
SQM — Revenue and Year-on-Year Growth, FY2020–FY2025



Source: Alpha Vantage (FY2020–FY2023, aggregated from SEC filings); SQM 4Q2025 earnings release, Form 6-K, SEC EDGAR (FY2024–FY2025).

Growth in this business is overwhelmingly price-driven rather than volume-driven: lithium sales volumes actually grew every year from 2021 to 2025, yet revenue fell in both 2023 and 2024, because average realized lithium prices fell faster than volumes rose. The pattern reversed in the first quarter of 2026, when a 135.7% year-on-year increase in lithium-and-derivatives revenue was driven by a near-doubling of realized price (roughly US\$10/kg in the fourth quarter of 2025 to roughly US\$18/kg by the first quarter of 2026) on top of continued volume growth. Iodine revenue growth (+7.7% in 2025) has been comparatively balanced between flat volumes and rising price, consistent with a tighter, less commoditized market. Operating leverage is pronounced in both directions: gross margin expanded from 26.6% (2020) to a peak of 53.6% (2022) as fixed extraction costs were spread over record pricing, then compressed to 29.3% (2024) and recovered only modestly to 29.6% (2025) — a level still well below the ten-year historical average, evidencing that margins have not yet fully re-rated with the 2025-2026 price recovery.

SQM — Gross, Operating and Net Margins, FY2020–FY2025



Source: as Chart 1. Net margin attributable to SQM shareholders (post minority interest, FY2024–FY2025).

Table B1-1 — Income statement summary, FY2020-FY2025 (US\$ millions unless noted)

Fiscal year	2020	2021	2022	2023	2024	2025
Revenue	1,817.2	2,862.3	10,710.6	7,467.5	4,528.8	4,576.2
Gross profit	482.9	1,090.1	5,736.6	3,075.1	1,327.1	1,352.6
Gross margin	26.6%	38.1%	53.6%	41.2%	29.3%	29.6%
Operating income	302.5	927.3	5,531.4	2,844.4	1,065.9	1,134.6
EBITDA (see note above)	326.8	926.1	5,579.3	2,936.3	1,483.5 ^{adj.}	1,579.6 ^{adj.}
Net income (attrib. to SQM)	164.5	585.5	3,906.3	2,012.7	(404.4)	588.1
Net margin	9.1%	20.5%	36.5%	27.0%	(8.9%)	12.9%

Fiscal year	2020	2021	2022	2023	2024	2025
EPS, diluted (US\$)	0.80	2.07	13.68	7.05	(1.42)	2.06

Sources: rows for FY2020-FY2023 and the "EBITDA" line for FY2020-FY2023, Alpha Vantage income-statement aggregation. FY2024-FY2025 net income, EPS and revenue, SQM Form 6-K, 4Q2025 earnings release, SEC EDGAR. FY2024-FY2025 EBITDA figures are SQM's own reported Adjusted EBITDA (marked "adj.") from the same filing.

B2. Balance Sheet

Total assets grew from US\$7.18 billion (2021) to US\$14.50 billion (2025), with the largest single jump — from US\$11.50 billion to US\$14.50 billion — occurring in 2025 alone. That jump is substantially an accounting event rather than new cash investment: the effectuation of the Nova Andino Litio partnership required SQM to fully consolidate the joint venture's assets and liabilities under IFRS control-based consolidation rules even though Codelco owns half of it economically, which is why consolidated minority interest exploded from US\$37.2 million at year-end 2024 to US\$2,362.6 million at year-end 2025 and property, plant and equipment plus other non-current assets rose sharply. Readers should treat the post-2025 balance sheet as reflecting 100% of Nova Andino Litio's gross assets and liabilities with Codelco's roughly 50% economic claim on that specific business carved out through the minority-interest line, rather than as organic asset growth wholly attributable to SQM shareholders.

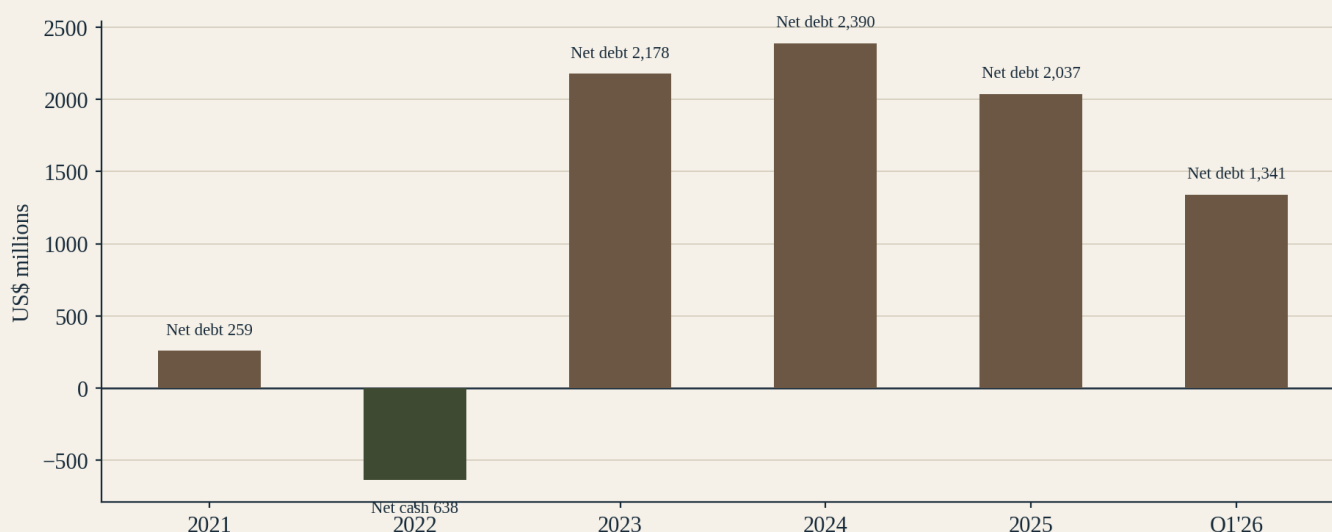
Leverage has risen materially from the 2022 peak, when SQM briefly held a net cash position of US\$637.6 million, to a net debt position of roughly US\$2.0-2.4 billion in each of 2023-2025, funding both the Australian expansion and, in 2021, a US\$1.1 billion common-equity raise that preceded the 2022 windfall year. At year-end 2025, net debt of approximately US\$2.04 billion against Adjusted EBITDA of US\$1.58 billion implies net debt/Adjusted EBITDA of roughly 1.3x — a moderate level for a resource company mid-cycle, though one that would deteriorate quickly if lithium prices reverted to 2024 trough levels, given the operating leverage demonstrated in Section B1. Liquidity remains ample: the current ratio was 3.3x at year-end 2025 (SQM's own reported figure) against 2.5x at year-end 2024, and cash and short-term investments of US\$2.73 billion at year-end 2025 cover more than five times short-term debt of US\$470.8 million.

Table B2-1 — Balance sheet summary, FY2021-FY2025 and Q1 2026 (US\$ millions unless noted)

Period end	FY2021	FY2022	FY2023	FY2024	FY2025	Q1 2026
Total assets	7,180	10,819	10,779	11,496	14,505	15,780
Cash & short-term investments	2,434	3,617	2,367	2,457	2,727	3,867
Total debt	2,693	2,979	4,545	4,848	4,764	5,208
Net debt / (net cash)	259	(638)	2,178	2,390	2,037	1,341
Shareholders' equity (excl. minority)	3,182	4,897	4,441	5,161	5,691	5,852
Minority interest	34	35	36	37	2,363	2,364
Book value per share (US\$)	11.44	17.14	15.55	18.07	19.92	20.49
Current ratio (x)	4.63	2.29	2.33	2.51	3.27	2.76

Source: StockAnalysis.com (data by Fiscal.ai), standardized aggregation of SQM's SEC filings; current-ratio and net-debt figures cross-checked against SQM's own reported "Liquidity" figures in its Form 6-K earnings releases for FY2024-FY2025, which matched to within rounding.

SQM — Net Debt / Net Cash Position, FY2021–Q1 2026



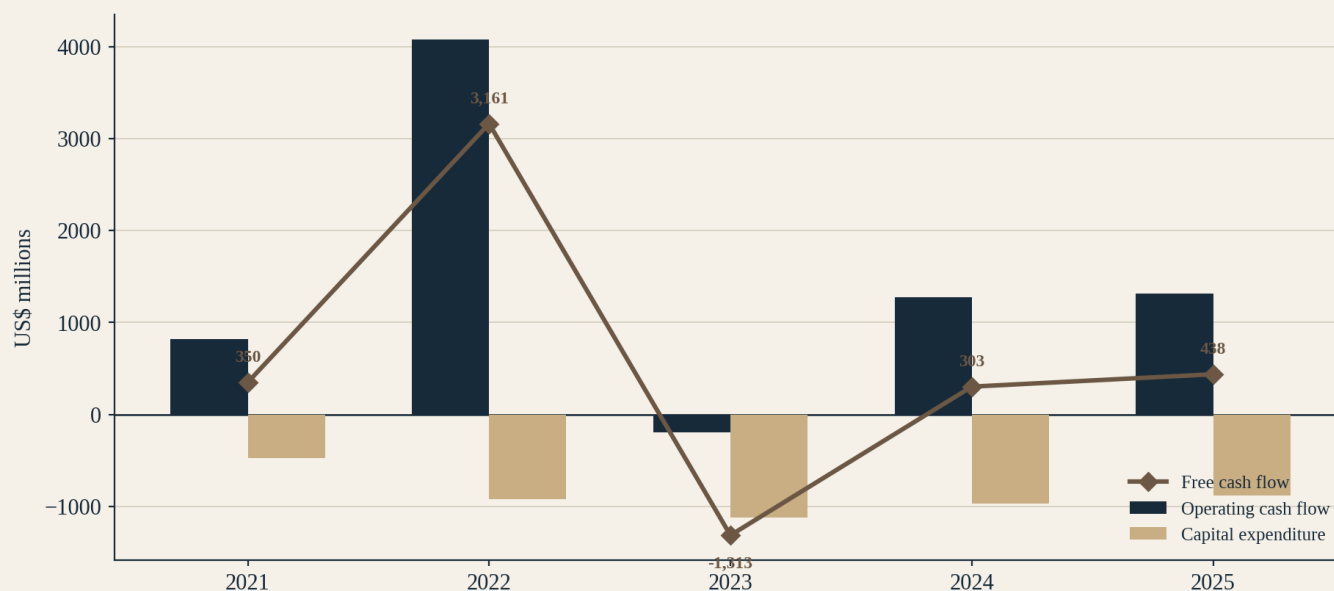
Source: StockAnalysis.com (data by Fiscal.ai), balance-sheet aggregation of SQM SEC filings. Positive bars denote net debt; negative bars denote net cash.

B3. Cash Flow Statement

The most important fact in SQM's cash-flow history is not visible on the income statement at all: in 2023, a year in which SQM reported net income of over US\$2.0 billion, operating cash flow was negative US\$196.6 million. Net income and cash generation diverged sharply that year because of a substantial working-capital build (receivables and inventory did not unwind as quickly as revenue fell) combined with cash tax payments that lagged the 2022 windfall year's accounting profit. Combined with capital expenditure of US\$1,116 million, free cash flow was negative US\$1,312 million in 2023 — a genuine cash-flow crisis year masked by a superficially strong reported net income figure, and a textbook illustration of why net income and free cash flow must be read together rather than in isolation.

Cash generation normalized in 2024-2025: operating cash flow of US\$1,274.7 million (2024) and US\$1,314.4 million (2025) comfortably exceeded capital expenditure of US\$971.8 million and US\$876.7 million respectively, producing free cash flow of US\$292.2 million and US\$437.7 million — modest in absolute terms relative to the 2022 peak of US\$3,161 million, but a return to positive, self-funding cash generation. Capital expenditure has been the largest call on cash throughout the downturn, running at 19-24% of revenue in 2023-2024 as SQM continued funding the Kwinana refinery and Atacama expansion through the trough — a decision that sacrificed near-term free cash flow (and, with it, the capacity to sustain the 2022-level dividend) in exchange for completing growth capacity ahead of the 2025-2026 price recovery. Dividends were cut from over US\$2.2 billion (2022) to US\$1.47 billion (2023, still reflecting the prior year's profit under SQM's payout policy) to a token US\$4.3 million (2025); no share repurchases are evident in the cash-flow statements reviewed. Financing cash flow reflects active balance-sheet management around the Australian build-out and Codelco transition, with both debt issuance and repayment activity elevated in 2024-2025 relative to 2021-2022.

SQM — Operating Cash Flow, Capex and Free Cash Flow, FY2021–FY2025



Source: StockAnalysis.com (data by Fiscal.ai) cross-checked against Alpha Vantage cash-flow aggregation of SEC filings.
Free cash flow = operating cash flow less capital expenditure (analyst calculation).

Table B3-1 — Cash flow summary, FY2021-FY2025 (US\$ millions)

Fiscal year	2021	2022	2023	2024	2025
Operating cash flow	822.5	4,078.0	(196.6)	1,274.7	1,314.4
Capital expenditure	(472.8)	(916.6)	(1,116.0)	(971.8)	(876.7)
Free cash flow	349.7	3,161.0	(1,312.0)	292.2	437.7
FCF margin (% of revenue)	12.2%	29.5%	(17.6%)	6.5%	9.6%
Dividends paid	(571.7)	(2,238.0)	(1,471.0)	(67.2)	(4.3)

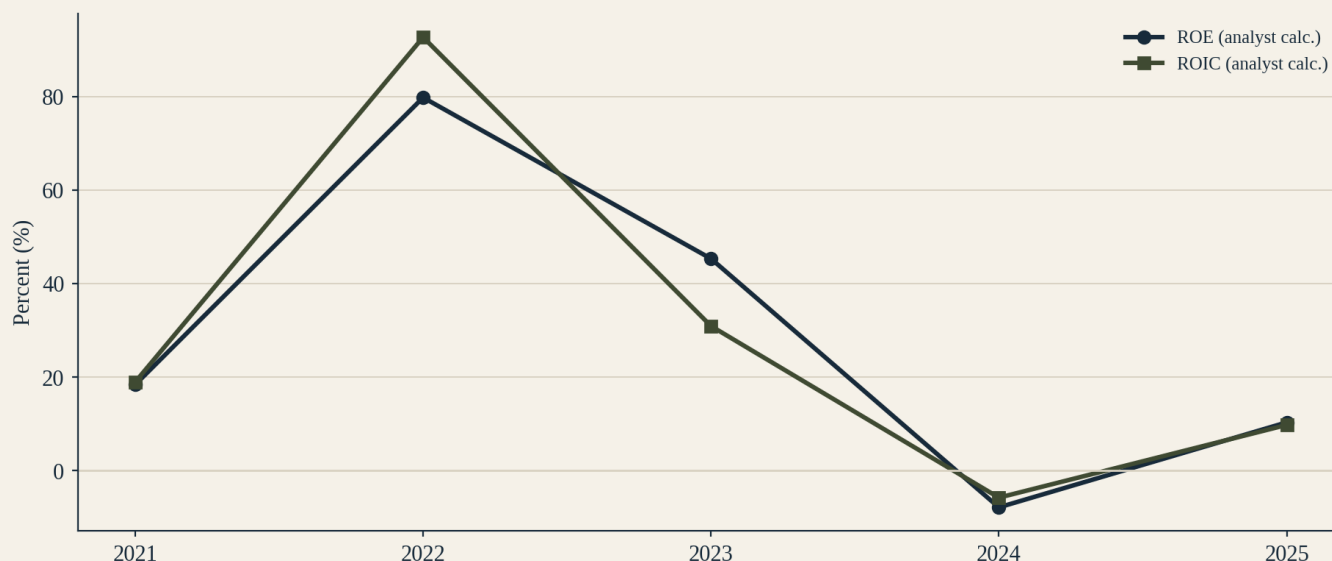
Source: StockAnalysis.com (data by Fiscal.ai), standardized aggregation of SQM's SEC filings; operating cash flow, capital expenditure and free cash flow figures for 2024-2025 cross-checked against Alpha Vantage's independent cash-flow aggregation, which matched to within rounding.

SECTION C

Evaluation

C1. Financial & Operating Metrics

SQM — Return on Equity and Return on Invested Capital, FY2021–FY2025



Analyst calculation. ROE = net income attributable to shareholders / average-period shareholders' equity.
ROIC = operating income x (1 - effective tax rate) / (total debt + equity - cash). FY2024 effective tax rate distorted by a one-off tax charge (see Section B1).

Table C1-1 — Key ratios, FY2021-FY2025 (analyst-calculated unless noted)

Metric	2021	2022	2023	2024	2025
ROE (net income / shareholders' equity)	18.4%	79.8%	45.3%	(7.8%)	10.3%
ROIC (NOPAT / invested capital)	19.0%	92.7%	30.9%	(5.8%) [†]	9.8%
Net debt / Adjusted EBITDA	0.28x	(0.11x)	0.74x	1.61x	1.29x
Current ratio	4.63x	2.29x	2.33x	2.51x	3.27x
FCF margin	12.2%	29.5%	(17.6%)	6.5%	9.6%
Capex / revenue	16.5%	8.6%	14.9%	21.5%	19.2%

[†] FY2024 ROIC is distorted by the one-off Chilean tax charge discussed in Section B1, which pushed the effective tax rate above 100% of pre-tax income that year; the figure should not be read as indicating negative operating performance. ROIC = operating income x (1 - effective tax rate) ÷ (total debt + shareholders' equity - cash & short-term investments); ROE = net income attributable to shareholders ÷ shareholders' equity (period-end, excluding minority interest). Net debt/EBITDA for 2024-2025 uses SQM's reported Adjusted EBITDA; 2021-2023 uses the Alpha Vantage EBIT+D&A proxy described in Section B.

The 2021-2025 ratio history illustrates a company whose returns on capital are almost entirely a function of the lithium cycle rather than of any steady operating improvement: ROIC of 92.7% in 2022 and negative ROIC in 2024 were generated by the same asset base and largely the same cost structure, with price the dominant variable in between. On a normalized, mid-cycle basis (using 2021 and 2025, both years in which lithium prices were closer to long-run averages than to either extreme), ROIC of 19.0% and 9.8% respectively suggest a structurally profitable but not extraordinary through-cycle return on capital once the windfall and trough years are excluded — a useful anchor for valuation work in Section C3.

C2. Risks

Table C2-1 — Structured risk assessment

Category	Risk	Probability × impact
Business	Product concentration: roughly half of revenue and gross profit from a single volatile commodity (lithium)	High
Business	Geographic concentration: substantially all Chilean lithium and iodine volumes originate from a small number of Atacama Desert operations	Medium
Financial	Cash-flow volatility exceeding earnings volatility, as demonstrated by negative operating cash flow in 2023 despite a >US\$2bn accounting profit	Medium-High
Financial	Rising leverage (net debt/Adjusted EBITDA of 1.3x at a mid-cycle price point) that would compress quickly in a renewed downturn	Medium
Competitive	Renewed lithium oversupply from Chinese lepidolite, African hard-rock, or delayed Chinese "anti-involution" supply discipline	High
Competitive	Rio Tinto's 2025 Arcadium acquisition and continued Albemarle cost-cutting increase the scale and financial firepower of Western lithium competitors	Medium
Technological	Battery-chemistry substitution (LFP intensity gains, longer-term sodium-ion) reducing lithium demand per vehicle or per kWh	Medium (long-dated)
Regulatory / political	Post-2030 transfer of Salar de Atacama operating control to Codelco under the Nova Andino Litio partnership, and the risk of further renegotiation of Chilean lithium policy	Medium-High
Macro	Global EV and ESS demand sensitivity to interest rates, subsidy policy (particularly in the U.S. and China) and broader economic growth	Medium
Valuation	Current multiples appear to require a durable, above-mid-cycle margin recovery; a reversion toward 2019-2021 or 2024 margins would compress multiples materially (Section C3)	High

The three risks most capable of permanently impairing shareholder value are, in order: (1) a renewed multi-year lithium price collapse of the kind seen in 2023-2024, which the 2023 negative-free-cash-flow episode shows can turn a profitable-looking year into a cash-consuming one; (2) an adverse shift in the terms, timeline or execution of the

Codelco/Nova Andino Litio partnership that further compresses SQM's post-2030 economic interest in its best asset; and (3) a structural, technology-driven reduction in lithium demand intensity that is not fully offset by ESS growth, which would undermine the secular growth assumption embedded in current valuations.

C3. Valuation

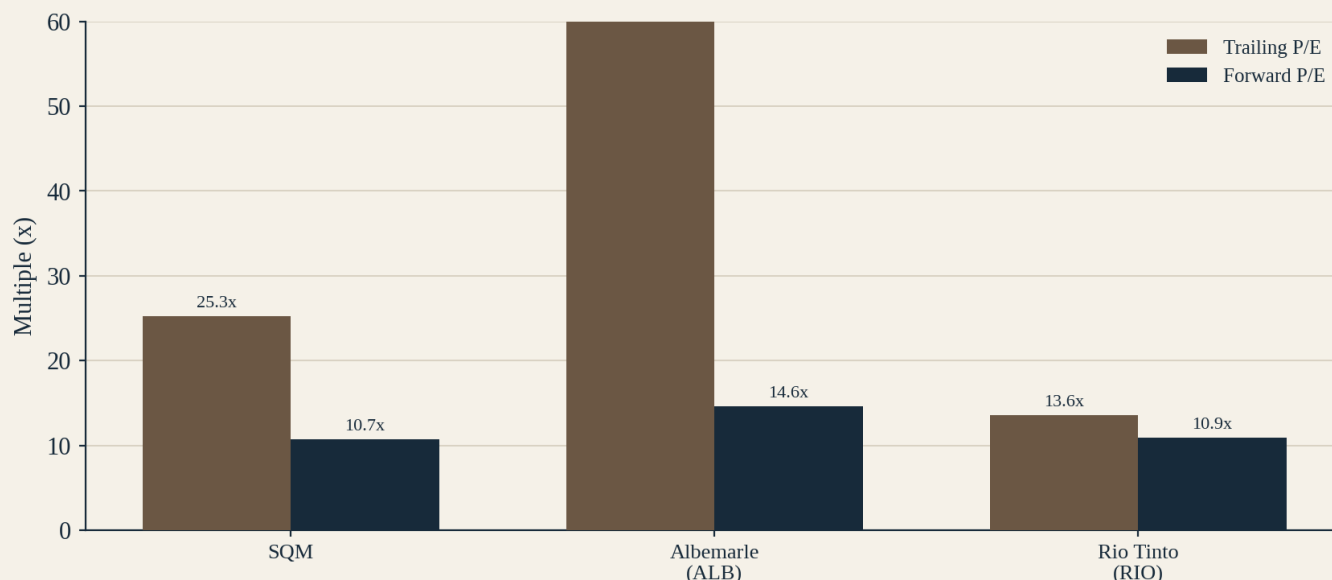
Multiples — current and peer

Table C3-1 — Valuation multiples, as of 14 August 2026 close

Metric	SQM	Albemarle (ALB)	Rio Tinto (RIO)
Share price (US\$)	74.32	136.15	95.68
Market capitalization (US\$bn)	21.2	16.1	164.1
Trailing P/E	25.3x	279.3x [†]	13.6x
Forward P/E (consensus)	10.7x	14.6x	10.9x
Price / sales (TTM)	4.0x	2.7x	2.7x
Price / book	3.6x	n/m	n/m
Dividend yield	1.4%	1.2%	4.8%
Beta (5y)	1.00	1.32	0.66

[†]Albemarle's trailing P/E of 279x reflects near break-even trailing-twelve-month earnings and is not economically meaningful as a valuation signal; its forward P/E is more informative. Source: Alpha Vantage (SQM), StockAnalysis.com/S&P Global Market Intelligence (ALB, RIO), 14 August 2026 close. Rio Tinto is materially larger and more diversified (iron ore and copper alongside lithium) and is included for lithium-exposure comparison rather than as a scale-comparable peer.

Lithium / Diversified Miner Peer Set — Trailing vs Forward P/E



Source: Alpha Vantage (SQM) and StockAnalysis.com (ALB, RIO), as of 14 August 2026 close. Albemarle trailing P/E of 279x reflects near break-even TTM earnings and is not economically meaningful; shown for completeness.

On an analyst-calculated, fiscal-year-2025 basis, SQM's enterprise value of approximately US\$25.6 billion (market capitalization of US\$21.2 billion, plus total debt of US\$4.76 billion and consolidated minority interest of US\$2.36 billion, less cash and short-term investments of US\$2.73 billion) implies EV/Revenue of 5.6x and EV/Adjusted EBITDA of 16.2x against FY2025 results — both well above SQM's own 2023-2024 trough multiples (EV/EBITDA fell to the mid-single digits at the 2024 low, based on the balance-sheet and earnings data in Section B) and above the low-double-digit EV/EBITDA typically associated with mid-cycle major miners. On a trailing-twelve-month basis through the first quarter of 2026, the comparable EV/EBITDA implied by Alpha Vantage's vendor calculation is 13.65x, lower than the FY2025-basis figure above chiefly because trailing-twelve-month EBITDA already captures the stronger first-quarter-2026 price environment; the two figures are not directly comparable and are shown side by side deliberately to illustrate how quickly the multiple compresses as more recent, stronger quarters are included in the denominator.

Discounted cash flow

A discounted cash-flow analysis is presented as a range across three explicitly labeled scenarios rather than as a single intrinsic-value estimate, consistent with the wide dispersion of plausible lithium-price paths. All three scenarios use a five-year explicit forecast on a firm (unlevered free cash flow) basis, a Gordon-growth terminal value, and a bridge to equity value that deducts both net debt (US\$2.04 billion) and consolidated minority interest (US\$2.36 billion, representing Codelco's economic claim on Nova Andino Litio) from enterprise value — an approximation, since minority interest is valued here at its FY2025 IFRS book value rather than a separately modeled fair value.

Table C3-2 — DCF scenario assumptions and outputs (analyst estimate; see notes)

Assumption / output	Conservative	Base	Optimistic
Revenue growth, Y1-Y5 (avg.)	~2.8% p.a.	~6.4% p.a.	~10.6% p.a.

Assumption / output	Conservative	Base	Optimistic
EBITDA margin (Y1 → Y5)	28% flat	33% → 32%	38% → 36%
Capital expenditure (% revenue, Y1 → Y5)	14% → 10%	15% → 10%	16% → 10%
Tax rate	30%	27%	27%
WACC	10.5%	9.5%	8.8%
Terminal growth	2.0%	2.5%	3.0%
Implied enterprise value (US\$m)	7,706	14,110	24,186
Implied equity value per share (US\$)	11.58	34.00	69.28

Analyst estimate. Starting revenue base: trailing-twelve-month revenue of US\$5,300 million through Q1 2026 (Alpha Vantage). D&A held at 9.4% of revenue (FY2025 actual ratio) in all scenarios; incremental net working capital assumed at 2% of revenue growth. Terminal value = Year-5 unlevered FCF × (1+terminal growth) ÷ (WACC – terminal growth). Equity value = enterprise value – net debt (US\$2,037m) – minority interest book value (US\$2,363m), divided by 285.6 million shares. These are explicitly labeled estimates built for this report and are not SQM guidance, analyst consensus, or a prediction of future results.

Even the Optimistic scenario above (US\$69.28 per share) falls short of the 14 August 2026 closing price of US\$74.32. Solving in reverse for what the current price requires: holding the Base case's growth and capital-expenditure path, the market-implied enterprise value is consistent either with a sustained flat EBITDA margin of approximately 49% over the next five years (a level SQM has only ever approached briefly, in 2022) at a 9.5% discount rate, or with a WACC of approximately 6.9% if margins are instead held at the actual FY2025 level of 34.5% — a discount rate that appears low for a business with SQM's single-commodity concentration and emerging-market/Chilean country-risk profile. On balance, the expectations embedded in the current share price are assessed as **optimistic to extremely optimistic**: they require either a margin structure last seen fleetingly at the top of the 2022 price spike to persist for years, or a cost of capital more typical of a diversified, investment-grade industrial than of a single-country, single-commodity-dominated resource producer.

C4. Capital Market / Stock Analysis

Table C4-1 — Price performance and risk statistics, to 14 August 2026

Period / measure	Value
1-month return	+6.5%
3-month return	(11.8%)
6-month return	+4.8%
1-year return	+64.9%
5-year return (Aug 2021 – Aug 2026)	+49.7%
52-week range	US\$40.58 – US\$98.00
50-day / 200-day moving average	US\$73.13 / US\$73.82

Period / measure	Value
Annualized volatility (weekly returns, 5-year)	50.5%
Maximum drawdown (5-year, peak to trough)	(73.1%), week of 27 May 2025
Beta (5-year, vs. broad market)	1.00

Returns and volatility statistics computed by the analyst from weekly closing prices, StockAnalysis.com (S&P Global Market Intelligence), 16 August 2021 – 14 August 2026 (261 weekly observations). Moving averages and beta from Alpha Vantage company overview data, as of 14 August 2026.

SQM (NYSE: SQM) — Weekly Closing Price, August 2021–August 2026



Source: StockAnalysis.com, price data by S&P Global Market Intelligence. Weekly closes, not adjusted for the ordinary dividend distributions listed in Section C4.

The five-year price history is dominated by a single, extreme cycle rather than a steady trend: SQM ADRs rose from roughly US\$50 in late 2021 to an all-time high near US\$115 in mid-2022 on the first lithium price spike, then fell in a series of waves to a five-year low near US\$29 in June 2025 — a peak-to-trough drawdown of 73.1% — before recovering to US\$74.32 by 14 August 2026 as lithium prices rebounded. Realized volatility of roughly 50% per year is extreme even by mining-sector standards and is the direct market counterpart to the earnings and cash-flow volatility documented in Sections B1 and B3. The stock's 50-day (US\$73.13) and 200-day (US\$73.82) moving averages sit almost exactly at the current price, indicating a market in a broad, largely rangebound consolidation over the past several months following the sharp 2025-2026 recovery rally, rather than a clear ongoing uptrend or downtrend; the 3-month return of -11.8% within a positive 1-year and 6-month return points to a recent pullback inside a longer recovery, consistent with a market digesting the magnitude of the price-driven earnings rebound documented in Section B1 rather than extending it in a straight line. None of this technical structure should be read as independent evidence about fundamental value — it describes how the market has traded the stock, not what it is worth.

SECTION D

Investment Thesis

Bull case

- The 2025-2026 lithium price recovery (roughly \$10/kg to roughly \$18/kg realized in two quarters) proves durable as ESS demand growth (management-estimated at ~25% for 2026) outpaces new supply.
- Kwinana ramps reliably to nameplate, adding a second, geographically diversified lithium-hydroxide revenue stream by 2027-2028.
- Iodine prices, already at record levels on tight supply and X-ray contrast-media demand, hold or extend gains, sustaining a segment that already contributes 42% of gross profit.
- Adjusted EBITDA margin re-rates toward the high-30s to 40% area last seen (briefly) in 2022, as fixed Atacama costs are spread over higher realized prices.
- Multiple expansion as the market gains confidence the 2023-2024 trough will not recur, closing some of the gap to the "optimistic" DCF scenario in Section C3.

Base case

- Lithium prices stabilize well above the 2024 trough but below the 2022 spike, in a broad, still-volatile trading range.
- Volume growth continues (Nova Andino Litio and Kwinana both contributing), but pricing gives back some of the 2026 gains as supply responds.
- Adjusted EBITDA margin settles in the low-to-mid 30s%, closer to the FY2025 level than to either cycle extreme.
- Net debt/EBITDA stays in a 1.0-1.5x range; capital expenditure moderates as the Australian build-out completes, supporting a gradual return of free cash flow to shareholders.
- The stock trades in a range anchored to the Base-case DCF value (Section C3) adjusted for sentiment swings in the broader lithium complex.

Bear case

- Chinese lepidolite and African hard-rock supply responds to higher prices faster than expected, reintroducing the oversupply dynamic that drove the 2023-2024 collapse.
- Kwinana ramp-up encounters cost overruns or quality/qualification delays, a common risk for first-of-kind refinery ramp-ups.
- A working-capital or tax-timing shock similar to 2023 (when operating cash flow went negative despite a large reported profit) recurs in a future down-leg.
- Terms of the Codelco partnership are renegotiated further in the state's favor, or execution frictions with the 2031 governance handover create uncertainty ahead of that date.
- EBITDA margin reverts toward the high-20s% area seen in 2019-2021 and 2024, and multiples compress toward SQM's own historical trough levels.

Catalysts

Quarterly earnings releases (the next being the second-quarter 2026 results, expected in line with SQM's historical August reporting pattern) and the associated realized lithium and iodine price disclosures; further Kwinana refinery ramp-up updates and any additional product qualifications; Codelco/Nova Andino Litio governance or regulatory milestones ahead of the 2031 transition; Chinese lithium supply-side policy developments ("anti-involution" enforcement or reversal); and sell-side estimate revisions, which have shown a consistent pattern of downward earnings surprises through 2024-2025 (see Table G, quarterly EPS history) that would need to reverse to sustain the current valuation.

Things to Monitor

Table D-1 — Monitoring list

Metric / event	Why it matters	Positive signal	Negative signal
Realized lithium price per kilogram (quarterly disclosure)	Single largest driver of consolidated earnings and cash flow	Holds above US\$15/kg	Reverts toward US\$8-10/kg
Kwinana refinery output and product qualification	Determines whether the Australian growth vector delivers planned volume and margin	Sustained on-spec shipments, rising utilization	Repeated delays, off-spec output, cost overruns
Operating cash flow vs. net income	2023 showed these can diverge sharply; a repeat would signal earnings-quality deterioration	OCF continues to exceed or track net income	OCF falls materially short of, or turns negative against, positive net income
Net debt / Adjusted EBITDA	Balance-sheet cushion against a renewed price downturn	Stays below ~1.5x	Rises above ~2.5x
Iodine price and volumes	Non-lithium earnings cushion	Prices hold near or above US\$70/kg	Sharp price correction on new supply
Codelco/Nova Andino Lito governance milestones	Determines certainty and terms of the post-2030 asset transition	Smooth, on-schedule implementation	Disputes, delays, or further economic renegotiation

SECTION E

Final Investment Framework

<i>Business Quality</i>	Above-average. A scarce, genuinely low-cost natural-resource position (Salar de Atacama brine, caliche-ore iodine) diversified by a structurally advantaged, higher-margin iodine franchise, but concentrated in commodities SQM does not price.
<i>Financial Quality</i>	Mixed. Balance-sheet leverage is moderate (net debt/Adjusted EBITDA $\approx$ 1.3x at FY2025), but the 2023 divergence between reported net income (>US\$2bn) and operating cash flow (negative) is a genuine earnings-quality flag that any holder should weight heavily.
<i>Competitive Position</i>	Strong on cost curve; structurally weakening on asset control, given the scheduled 2031 transfer of Salar de Atacama operating control and the bulk of economic margin to Codelco/the Chilean state.
<i>Management</i>	Experienced and consistent (CEO Ricardo Ramos, at SQM since 1989); capital allocation through the downturn prioritized completing growth capex over sustaining dividends, a defensible but shareholder-costly choice that has since been validated by the 2025-2026 volume ramp.
<i>Industry</i>	Lithium: high-growth but boom-bust, currently in a price-recovery phase of uncertain durability. Iodine and specialty plant nutrition: mature, concentrated, structurally stable, currently supportive.
<i>Valuation</i>	Full to expensive relative to a range of explicitly scenario-based DCF outcomes (US\$11.58-US\$69.28 per share); the current US\$74.32 price requires margin or discount-rate assumptions at or beyond the optimistic end of what SQM's own history supports (Section C3).
<i>Technical / Market Structure</i>	Extreme historical volatility ($\sim$ 50% annualized) and a 73% peak-to-trough drawdown since 2022; currently consolidating near its 50- and 200-day moving averages after a strong 2025-2026 recovery rally.
<i>Principal Risk</i>	A renewed multi-year lithium oversupply cycle that reproduces the 2023-2024 margin and cash-flow collapse.
<i>Principal Catalyst</i>	Sustained realized lithium pricing above the US\$15/kg area through 2026-2027, confirmed in quarterly disclosures.
<i>Key Variable</i>	The realized lithium price per kilogram — it is the single input that, more than any other, determines whether SQM's revenue, margin, cash flow and balance-sheet trajectory over the next two to three years resembles 2021-2022 or 2023-2024.

THESIS INVALIDATION

The investment thesis implicit in the current share price would become materially weaker if: (i) SQM's realized lithium price falls back below approximately US\$10/kg for two or more consecutive quarters; (ii) operating cash flow falls short of net income by a wide margin in any quarter, repeating the 2023 pattern; (iii) net debt/Adjusted EBITDA rises above approximately 2.5x; or (iv) the terms, timeline or governance of the Codelco/Nova Andino

Litio partnership are altered in a way that further reduces SQM's post-2030 economic interest in the Salar de Atacama beyond the approximately 15-30% operating-margin share already contracted.

SECTION F

Data Table

Table F-1 — Standardized company snapshot

Category	Metric	Current	Prior Year	3Y / 5Y Trend
Market	Market capitalization	≈US\$21.2bn	≈US\$12.9bn ¹	+64.9% (1Y); highly cyclical
Market	Enterprise value (analyst calc., FY basis)	≈US\$25.6bn	n/a ²	n/a ²
Market	Share price (close)	US\$74.32	US\$45.51 ¹	−73.1% max drawdown since 2022 peak
Growth	Revenue growth (FY)	+1.0%	(39.4%)	Highly cyclical, price-driven
Profitability	Gross margin	29.6%	29.3%	Recovering from 2020 lows; below 2022 peak of 53.6%
Profitability	Operating margin	24.8%	23.5%	Recovering; below 2022 peak of 51.6%
Profitability	Net margin	12.9%	(8.9%)	Distorted 2024 by one-off tax charge
Profitability	ROE	10.3%	(7.8%)	Ranged (7.8%) to 79.8% over 5Y
Profitability	ROIC (analyst calc.)	9.8%	(5.8%)	Ranged (5.8%) to 92.7% over 5Y
Cash Flow	Operating cash flow	US\$1,314.4m	US\$1,274.7m	Negative in 2023 (US\$(196.6)m)
Cash Flow	Free cash flow	US\$437.7m	US\$292.2m	Negative in 2023 (US\$(1,312)m)
Leverage	Net debt / Adjusted EBITDA	1.29x	1.61x	Net cash in 2022; rising since
Valuation	P/E (trailing, TTM basis)	25.3x	n/m ³	n/a
Valuation	EV/EBITDA (FY basis, analyst calc.)	16.2x	n/a ²	n/a
Valuation	P/FCF (analyst calc.)	≈48.5x	≈44.5x ¹	Elevated; FCF still below 2022 peak
Market	Beta (5-year)	1.00	—	—
Market	Annualized volatility (5-year, weekly)	50.5%	—	—
Market	Maximum drawdown (5-year)	(73.1%)	—	Trough May 2025; recovering since

¹"Prior year" market-price-derived figures use the closing price in the week of 25 August 2025 (US\$45.51, StockAnalysis.com) applied to the current 285.6 million share count and FY2024 free cash flow, as an approximation — not SQM's actual reported market capitalization at that date. ²Prior-year enterprise value and EV/EBITDA were not independently reconstructed for this report given data availability in the current session; shown as not available rather than estimated. ³FY2024 trailing P/E is not meaningful because SQM reported a net loss for that period.

SECTION G

Sources & Methodology

Every source listed below was directly retrieved and its content verified as accessible (no paywall, login wall, or error page encountered) during preparation of this report on 16 August 2026.

Primary Sources

SQM (Sociedad Química y Minera de Chile S.A.) — "SQM Reports Earnings for the Three Months Ended March 31, 2026" (Form 6-K, filed 26 May 2026, SEC EDGAR).

https://www.sec.gov/Archives/edgar/data/909037/000090903726000026/a6-k_1q2026earningsrelease.htm

Used for: 1Q2026 segment revenue, volumes and realized prices; Adjusted EBITDA reconciliation; balance sheet as of 31 March 2026; Nova Andino Litio state-contribution disclosure; management commentary and 2026 guidance.

SQM — "SQM Reports Earnings for the Twelve Months and Fourth Quarter Ended December 31, 2025" (Form 6-K, filed 27 February 2026, SEC EDGAR).

https://www.sec.gov/Archives/edgar/data/909037/000090903726000012/a6-k_4q2025earningsrelease.htm

Used for: FY2025 and FY2024 income statement, balance sheet, segment revenue and volumes, Adjusted EBITDA reconciliation, ESG ratings, management commentary.

SQM — corporate "Management" page.

<https://sqm.com/en/acerca-de-sqm/directorio-y-administracion/administracion/>

Used for: executive names, titles, tenure and educational/professional background (Section A7).

SQM — "Codelco and SQM sign partnership agreement making Chile a leader in the global lithium market" (press release, 31 May 2024).

<https://sqm.com/en/noticia/codelco-y-sqm-firman-acuerdo-para-asociacion-que-da-a-chile-liderazgo-en-el-mercado-mundial-de-litio/>

Used for: Nova Andino Litio / Codelco partnership structure, governance, economics and timeline (Section A3).

Secondary Sources

InvestingNews.com — "7 Biggest Lithium-mining Companies in 2026."

<https://investingnews.com/daily/resource-investing/battery-metals-investing/lithium-investing/top-lithium-producers/>

Used for: qualitative competitive-landscape context on Albemarle, Rio Tinto/Arcadium, Ganfeng and Tianqi (Section A4).

Market Data

StockAnalysis.com (price data supplied by S&P Global Market Intelligence) — SQM price history.

<https://stockanalysis.com/stocks/sqm/history/>

Used for: five-year weekly closing-price series (16 August 2021 – 14 August 2026) underlying the price chart, return, volatility and drawdown calculations in Section C4 and the cover chart.

StockAnalysis.com (data by Fiscal.ai) — SQM balance sheet.

<https://stockanalysis.com/stocks/sqm/financials/balance-sheet/>

Used for: FY2021-FY2025 and Q1 2026 balance-sheet line items (Section B2).

StockAnalysis.com (data by Fiscal.ai) — SQM cash flow statement.

<https://stockanalysis.com/stocks/sqm/financials/cash-flow-statement/>

Used for: FY2021-FY2025 operating cash flow, capital expenditure, free cash flow and dividend figures (Section B3).

StockAnalysis.com — Albemarle Corporation (ALB) overview.

<https://stockanalysis.com/stocks/alb/>

Used for: peer market data and valuation multiples (Section C3).

StockAnalysis.com — Rio Tinto Group (RIO) overview.

<https://stockanalysis.com/stocks/rio/>

Used for: peer market data and valuation multiples (Section C3).

Alpha Vantage (alphavantage.co) — Fundamental Data API: Company Overview, Income Statement, Balance Sheet, Cash Flow, Earnings, Dividends and Global Quote endpoints for SQM, queried 16 August 2026.

Used for: FY2020-FY2023 income-statement aggregation, TTM valuation multiples (P/E, forward P/E, EV/Revenue, EV/EBITDA, P/S, P/B), 52-week and moving-average context, dividend history, quarterly and annual EPS history, and the 14 August 2026 closing quote.

This is an API data service rather than a browsable document; individual query responses are not separately linkable.

Calculations

The following are explicitly analyst-calculated figures, not figures reported directly by SQM or a data vendor: revenue growth rates; gross/operating/net margins; ROE and ROIC (Section C1, methodology given in the accompanying table note); net debt and net debt/EBITDA reconciliations for years where not directly disclosed; free cash flow (operating cash flow less capital expenditure); the FY2025-basis enterprise value and associated EV/Revenue and EV/EBITDA multiples (Section C3); the three-scenario discounted cash-flow analysis and its assumptions (Section C3, Table C3-2); the reverse-solved "market-implied" margin and WACC figures (Section C3); and all return, annualized-volatility and maximum-drawdown statistics in Section C4, computed by the analyst from the StockAnalysis.com weekly price series described above. Prior-year figures in Section F marked with a footnote are approximations built from current share counts applied to historical prices and are flagged as such rather than presented as SQM's actual historical reported figures.

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